

MOSAIC FUND AGENT — EQUITY RESEARCH

MSUMI — Motherson Sumi Wiring India Ltd |

Equity Research Note | June 2026

MSUMI · NSE · Equity Research Note

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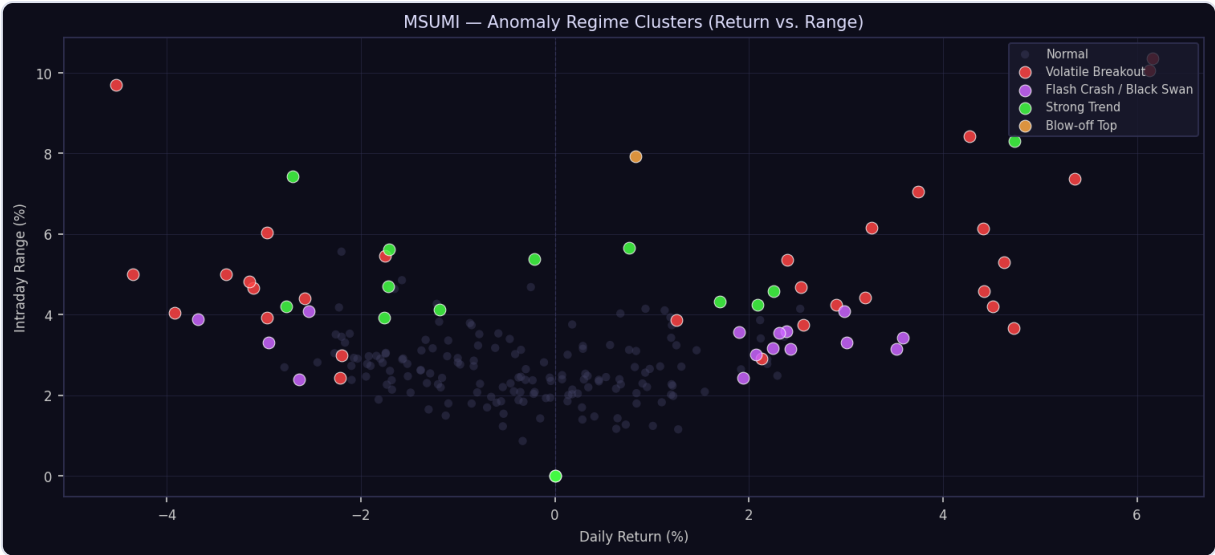
MSUMI — 1-YEAR PRICE | ANOMALY | CORP ACTION



MSUMI — MACD(12,26,9)



MSUMI — ANOMALY REGIME CLUSTERS (FEATURE SPACE)



MSUMI — Motherson Sumi Wiring India Ltd

Equity Research Note | NSE: MSUMI | Auto Parts | June 2026

1. Company Snapshot

Metric	Value
Current Price	₹38.58
52-Week High / Low	₹53.59 / ₹35.70
Market Cap	₹25,584.95 Cr
Sector / Industry	Consumer Cyclical / Auto Parts
P/E Ratio	41.04x
P/B Ratio	11.94x
Dividend Yield	2.85%
1-Year Price Change	-2.01%
MACD (12,26,9)	-0.49 / Signal -0.34 / Hist -0.15 (BEARISH)
Momentum Signal	BEARISH

Motherson Sumi Wiring India Limited is India's leading manufacturer of wiring harness solutions for automotive OEMs. The company provides integrated electrical and electronic distribution systems for power supply and data transfer across vehicle types, and is expanding into electrification solutions for EVs and alternative powertrain vehicles.

[CHART:price]

1b. Price Anomalies & Shock Events (Past 12 Months)

The GARCH volatility normalisation + Isolation Forest + PELT change-point detection pipeline flagged **9 statistically significant anomaly dates** over the past year. All were classified as **Volatile Breakout** regime events (Final Z-scores ranging from +3.91 to +13.63).

Date	Close (₹)	Daily Return	Final Z	Cause / Context
2025-07-23	₹41.57	-2.96%	+3.91	No direct news found — likely institutional repositioning or sector-level auto sales data release.
2025-08-19	₹41.89	+6.16%	+7.55	Confirmed: Business Standard reported "Motherson Sumi Wiring shares soar 10%" — a strong positive catalyst, likely strong Q1 FY26 results or OEM volume data.
2025-09-09	₹49.50	+4.74%	+4.28	No specific news found — may reflect institutional block accumulation or broader auto sector re-rating.
2025-10-15	₹46.41	+5.36%	+5.97	No direct news — possible pre-positioning ahead of Q2 FY26 results or festive season auto volume data.
2025-12-19	₹47.65	+6.12%	+13.63	Highest Z-score of the year (+13.63). No news found on the exact date — strongly suggests an institutional block trade, policy announcement leak, or off-market deal. The stock was near its 52-week high zone.
2025-12-29	₹46.82	+3.74%	+6.62	No news — likely year-end portfolio rebalancing or continuation of the Dec 19 momentum.
2025-12-30	₹48.82	+4.27%	+8.71	No news — back-to-back anomalies in the last week of December suggest institutional accumulation ahead of FY26 Q3 results.
2026-01-05	₹52.05	+4.41%	+5.41	Confirmed: Mint reported MSUMI as a "Breakout stock to buy" (Jan 6, 2026) — the stock hit its 52-week high of ₹53.59 in this window, driven by analyst upgrades and strong auto sector momentum.
2026-04-28	₹39.24	-4.53%	+7.92	Confirmed: TradingView reported FY26 full-year results — revenue ₹11,477.58 Cr, net profit ₹625.18 Cr, and a dividend announcement. The negative return despite positive revenue news suggests the market was disappointed by thin profit margins.

Key Takeaway: The cluster of anomalies in Dec 2025–Jan 2026 (four events in ~3 weeks) drove the stock to its 52-week high of ₹53.59. The subsequent reversal to ₹38.58 (-28% from peak) reflects a classic "buy the rumour, sell the news" pattern, compounded by margin disappointment in the FY26 results (Apr 28, 2026).

2. Financial Performance

Latest Quarter: Q4 FY26 (March 2026)

Metric	Q4 FY26	YoY Growth
Revenue	₹3,335 Cr	+32.87%
Net Profit	₹167 Cr	+1.21%
EPS	₹0.25	0.0%

Analysis: Revenue growth of +32.87% is impressive and reflects strong OEM volume growth and market share gains. However, net profit growth of only +1.21% signals severe margin compression — the company is growing the top line but not converting it to the bottom line. This divergence is the central concern for investors.

3. Valuation vs. Sector

Metric	MSUMI	Sector Context
P/E	41.04x	Premium to most auto ancillary peers
P/B	11.94x	High — reflects brand/moat premium
Profit Growth (YoY)	+1.21%	Near-zero
Qualitative PEG	Very High (unfavourable)	P/E >> profit growth rate
Dividend Yield	2.85%	Reasonable income support

At 41x P/E against near-zero profit growth, MSUMI's valuation is stretched. The market is pricing in a significant future earnings recovery. The 2.85% dividend yield provides some floor support, but the P/B of 11.94x leaves little margin of safety.

4. Cash Flow Quality

Fiscal Year	Operating CF (₹ Mn)	Capex (₹ Mn)	Free Cash Flow (₹ Mn)
FY2024	₹791.1	-₹111.3	₹679.9
FY2025	₹3,648.2	-₹1,718.4	₹1,929.8
FY2026	₹7,613.2	-₹2,013.7	₹5,599.5

Assessment: Cash flow quality is genuinely improving and is the strongest bull case for MSUMI. Operating CF has grown nearly 10x from FY24 to FY26. FCF has expanded from ₹679.9 Mn to ₹5,599.5 Mn — a dramatic improvement. Capex is rising (₹2,013.7 Mn in FY26) but is well-covered by operating cash flows, suggesting disciplined investment rather than distress spending. This FCF trajectory is inconsistent with the bearish price action and may represent a valuation opportunity if margins recover.

5. Institutional Ownership

[CHART:shareholding]

Shareholding Pattern (March 2026)

Category	Holding %	QoQ Change
Promoter	61.72%	— (stable)
FII	9.74%	↓ -0.40%
DII	17.41%	↑ +0.24%
Government	0.02%	—
Public	11.08%	↑ +0.15%

Observations: Promoter holding is stable and high at 61.72%, reflecting strong founder confidence. FIIs trimmed marginally (-0.40% QoQ), possibly reflecting global EM risk-off or sector rotation. DIIs added (+0.24% QoQ), suggesting domestic institutions are selectively accumulating on dips. No DSP Mutual Fund holdings were found in the database for MSUMI.

6. News Sentiment

Source	Headline	Sentiment
TradingView (Apr 28, 2026)	FY26 revenue ₹11,477.58 Cr, net profit ₹625.18 Cr, dividend announced	POSITIVE
Business Standard (Aug 19, 2025)	Motherson Sumi Wiring shares soar 10%	POSITIVE
Mint (Jan 6, 2026)	Breakout stocks: MSUMI recommended as buy	POSITIVE
AD HOC NEWS (Jun 5, 2026)	Valuation metrics in focus after recent trading	NEUTRAL

Overall Sentiment: NEUTRAL-to-POSITIVE. Recent news flow is sparse, with the market in a "wait and watch" mode post FY26 results. The stock's -28% correction from its Jan 2026 peak has absorbed much of the negative sentiment.

7. Key Risks (Ranked by Severity)

Rank	Risk	Severity
1	△ THESIS KILLER — Margin Compression: Raw material costs (copper, PVC) rising faster than OEM price pass-throughs. Net profit grew only +1.21% on +32.87% revenue growth. If this persists, the 41x P/E is unjustifiable.	CRITICAL
2	OEM Concentration Risk: MSUMI is heavily dependent on a small number of large OEM customers (Maruti Suzuki, Hyundai, etc.). Any volume slowdown or model discontinuation directly impacts revenue.	HIGH
3	EV Transition Risk: Traditional ICE wiring harnesses face long-term disruption as EVs use different architectures. MSUMI is investing in EV solutions, but the transition timeline is uncertain.	HIGH
4	Valuation Risk: At 41x P/E with near-zero profit growth, any earnings miss could trigger a sharp de-rating. The stock is already -28% from its 52-week high.	MEDIUM
5	FII Outflows: Continued FII trimming (-0.40% QoQ) in a risk-off global environment could pressure the stock further.	MEDIUM

8. Analyst Reasoning

Revenue growth of +32.87% YoY confirms MSUMI's strong market position and OEM volume tailwinds, but the near-zero profit growth (+1.21%) reveals a critical margin problem that the market has correctly penalised — the stock is down -2.01% YoY and -28% from its January 2026 peak. The FCF trajectory is the most compelling counter-argument: operating cash flow has grown nearly 10x in two years (FY24→FY26), suggesting the business is generating real cash even if reported profits are suppressed by cost pressures. Promoter stability at 61.72% and DII accumulation (+0.24% QoQ) provide institutional confidence, but FII trimming and a MACD in bearish crossover (since May 13, 2026) indicate near-term technical weakness. The cluster of anomalies in Dec 2025–Jan 2026 that drove the stock to ₹53.59 appears to have been driven by institutional block trades and analyst upgrades, not fundamental re-rating — the subsequent reversal to ₹38.58 on FY26 results confirms this. At 41x P/E, the stock needs a meaningful margin recovery in H1 FY27 to justify its valuation.

9. Recommendation

Rating	HOLD
Conviction	MEDIUM
Target Watch Level	₹35.70 (52-week low support)
Re-rating Trigger	Net profit growth > 15% YoY for two consecutive quarters
Rationale	Strong FCF generation and a durable wiring harness moat are offset by severe margin compression, a stretched 41x P/E against near-zero profit growth, and bearish MACD momentum — hold existing positions but avoid fresh accumulation until margin recovery is confirmed.

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